Tutorial note

Transactions relating to sale of asset may also be transferred to a temporary account called asset disposal account and completed. Each time an asset is sold, a separate asset disposal account is opened and the balance in the asset account is transferred to asset disposal account. All transactions relating to sale are entered in the asset disposal account. The asset disposal account is closed immediately after the sale.

Illustration 5

Calculate the amount of depreciation and depreciation rate from the following by using 'straight line method'. Also give journal entries for the first two years. The books are closed on 31st December every year.

January 1, 2016 Payment to vendor for purchase of machinery	₹ 1,40,000
January 1, 2016 Transportation cost	₹1,000
January 1, 2016 Installation cost	₹ 9,000
Estimated scrap value at the end of the life	₹ 45,000
Estimated life	7 years

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{1,50,000 - 45,000}{7} = \frac{1,05,000}{7} = ₹\ 15,000 \text{ per year}$$

$$\text{Rate of depreciation per year} = \frac{\text{Amount of depreciation}}{\text{Original cost}} \times 100$$

$$= \frac{15,000}{1,50,000} \times 100 = 10\%$$

Note:

Cost of the asset = Purchase price + Transportation cost + Installation cost

= 1,40,000 + 1,000 + 9,000 = ₹ 1,50,000

Journal entries

Date	Particulars		Debit ₹	Credit ₹
2016 January 1	Machinery A/c To Bank A/c (Machinery bought)	Dr.	1,40,000	 1,40,000
January 1	Machinery A/c To Bank A/c (Transportation and installation cost incurred on purchase of machinery)	Dr.	10,000	 10,000
December 31	Depreciation A/c To Machinery A/c (Depreciation provided)	Dr.	15,000	 15,000
December 31	Profit and Loss A/c Dr. To Depreciation A/c (Depreciation transferred to profit and loss account)	Dr.	15,000	 15,000

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